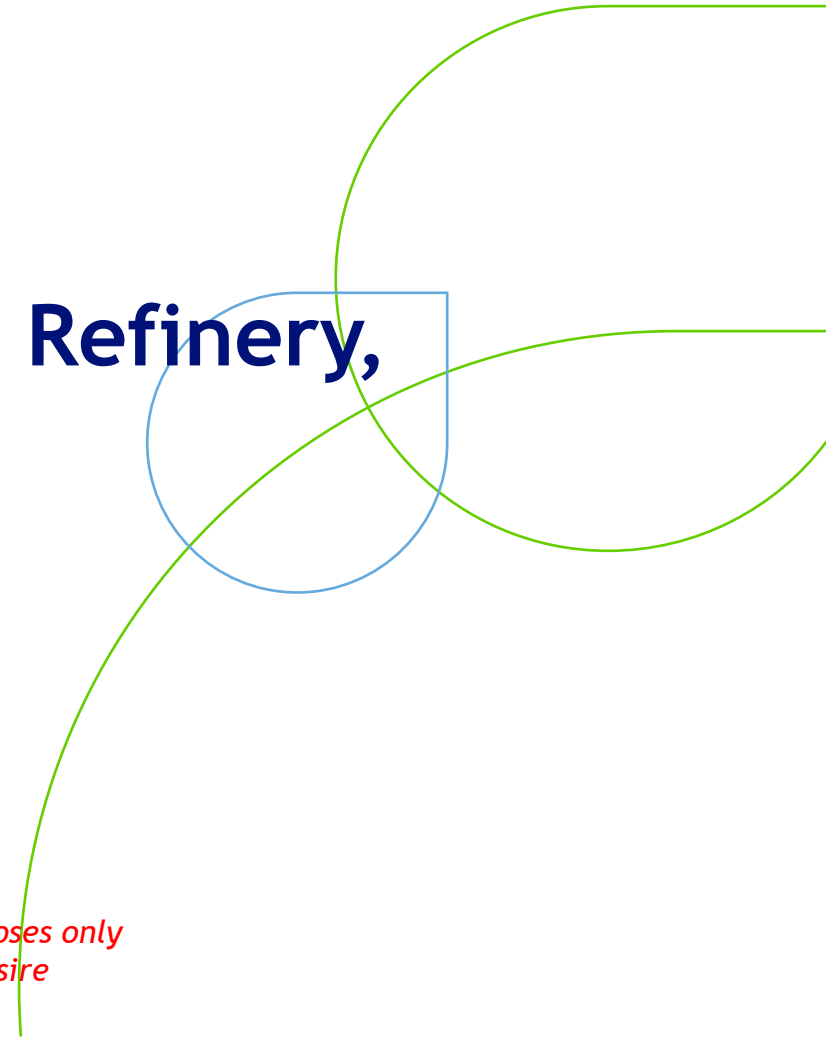


Asset Management One Refinery, AMOR Oy Executive summary



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Disclaimer:

Confidential and non-binding

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The authors may whenever change this presentation as they desire

Executive summary

New service company AMOR Oy to provide for One Refinery

- AMOR Oy is to be established by current MMA management, in case OPP decides to pursue this option
- OPP starts a partnership with the new company AMOR Oy
- OPP asset management activities and resources are transferred to AMOR Oy
- AMOR takes responsibility of asset management at One Refinery in Finland (same scope of services as MMA today)
- Benefits of collaboration
 - Annual maintenance services ordered on the basis of needs at One Refinery
 - AMOR to act as integrator for the large subcontractor base at One Refinery
 - Lower maintenance cost to OPP, annualized savings of up to 15 m€ by 2025
 - Restructuring of own organisation, higher efficiency
 - Opportunity to rearrange union relations (service branch)
 - Opportunity to find tailored, lower cost solutions for systems, CMMS, and administration
 - Option of add fire brigades into the scope of AMOR services

Benefit for OPP

Personnel BC	m€ 20
Personnel WC	m€ 12
Subcontracting	m€ 68
Materials	m€ 23
Operational	m€ 6
Total	m€ 129



Year	Annual maint cost to OPP	
2021	100%	m€ 129
2022	96%	m€ 124
2023	93%	m€ 120
2024	91%	m€ 117
2025	87%	m€ 112



43 m€

Annual cost baseline

Cost targets based on baseline

Cumulative benefit for
OPP

Model for earnings

- Years 1-2
 - Open book
 - Markup on own cost
 - Support functions
 - Collaboration with Neste
- Years 3-5
 - Fixed price for fixed scope
 - Even monthly invoicing
 - Additional work ordered (out of fixed scope)
 - Invoiced as hourly rates
 - Investment and development projects
 - Invoicing based on separate orders
 - Other customers in Kilpilahti
 - As per agreement

Key performance indicators

- | | |
|-------------------------------|------------------|
| • Operational availability | Rising trend |
| • MTBR for critical equipment | Rising trend |
| • Customer satisfaction | Rising trend |
| • TRIF | Decreasing trend |
| • PSER | Decreasing trend |
| • Total maintenance cost | Decreasing trend |

Work management

- Decisive factor for additional value
- White collars
 - All WC will be evaluated, role defined, and placed in the right position
 - Change management promoters need to be recruited (5-10 FTE)
- Blue collars & subcontractors
 - Waiting time reduced, effective time increased
 - Make with own resources instead of buy from subcontractors
 - Fixed jobs instead of hourly rates

Organisation

- Transparency and manageability improved
 - Organized by maintenance function and not by technical discipline
- Lean organisation
 - Organisational levels
 - Flexible and skilled employees
- Cost-efficient organisation
 - Concentrate on the value-adding work (KPIs)
 - Right number of employees

Steps for development H2/2020

1. Establishment of steering team
2. Agreement with OPP on the concept
3. Union negotiations
4. Preparation for the overtake of personnel
5. Establishment of payroll and agreement on support functions
6. Maintenance operational budget 2021
7. Maintenance operational plan 2021
8. Preparation for invoicing and cost follow-up
9. Information for contractors

Steps for development

Years 1-2

2021

Development of organisation

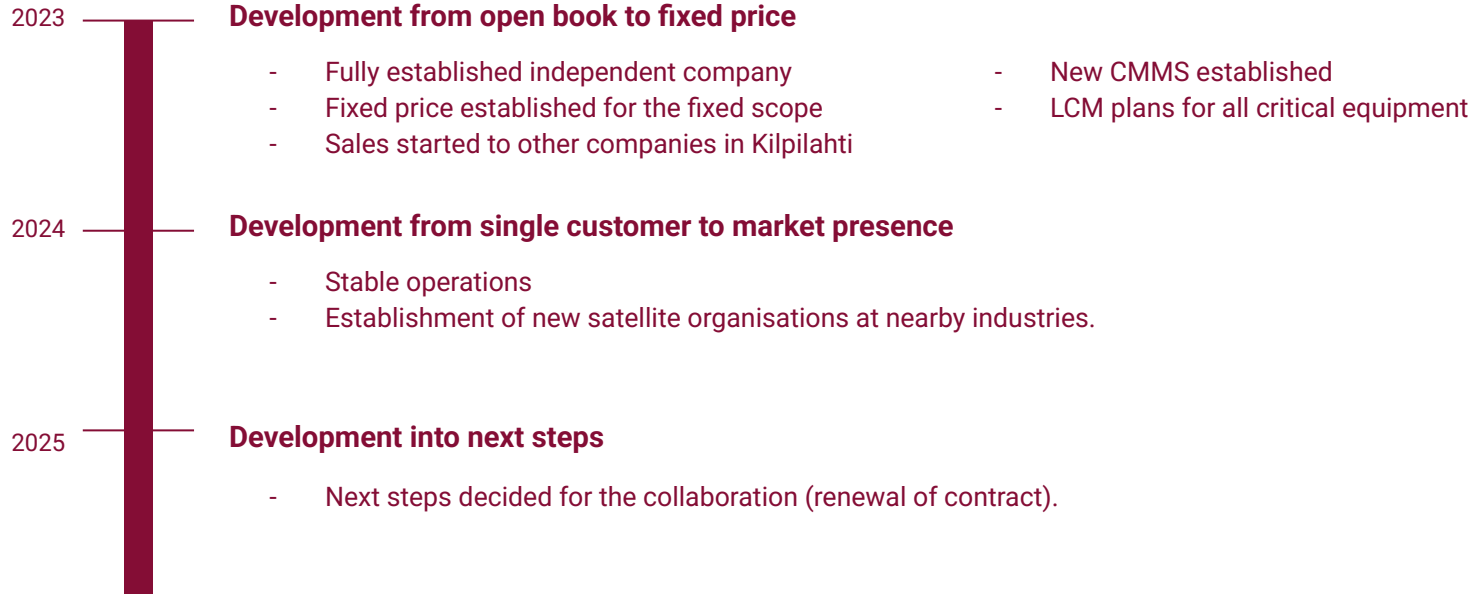
- Organisational analysis followed by revamp
 - Fewer technical disciplines
 - New model for technical supervision
 - WC analysis and placement
 - Lean, right size of organisation
 - Recruitment of change promoters
- Establishment of company functions
- Establishment of KPIs
- Due diligence for maintenance scope and cost
- Evaluation of supplier contracts - establishment of new model
- Evaluation of work efficiency and built up of new model
- Preventive maintenance increase
- Evaluation of new predictive maintenance techniques
- CMMS project started
- Fire brigades
- Annual maintenance services ordered by OPP
- AMOR budget based on OPP needs

2022

Development of contractor management

- Start-up of new lean organisation
- Preparation of fixed scope and price
- New workflow established
- Work analysis for make or buy
- Reduction of waiting time, hands on tool time
- Subcontractor negotiations, new contracts
- AMOR as the integrator for subcontractors
- Integrity and LCM plans for critical rotating equipment
- Risk based replacement investments for statutory eq.
- Union agreements in the service branch

Steps for development Years 3-5



AMOR: Key individuals

- Petri Hukkinen, M.Sc., Machine engineering
 - ...
- Jari Ala-Nikkola, M.Sc., Paper engineering
 - ...
- Mika Raassina, B.Sc., Energy technology
 - ...
- Juha Kekkonen, D.Sc. pulping/chemical engineering
 - ...

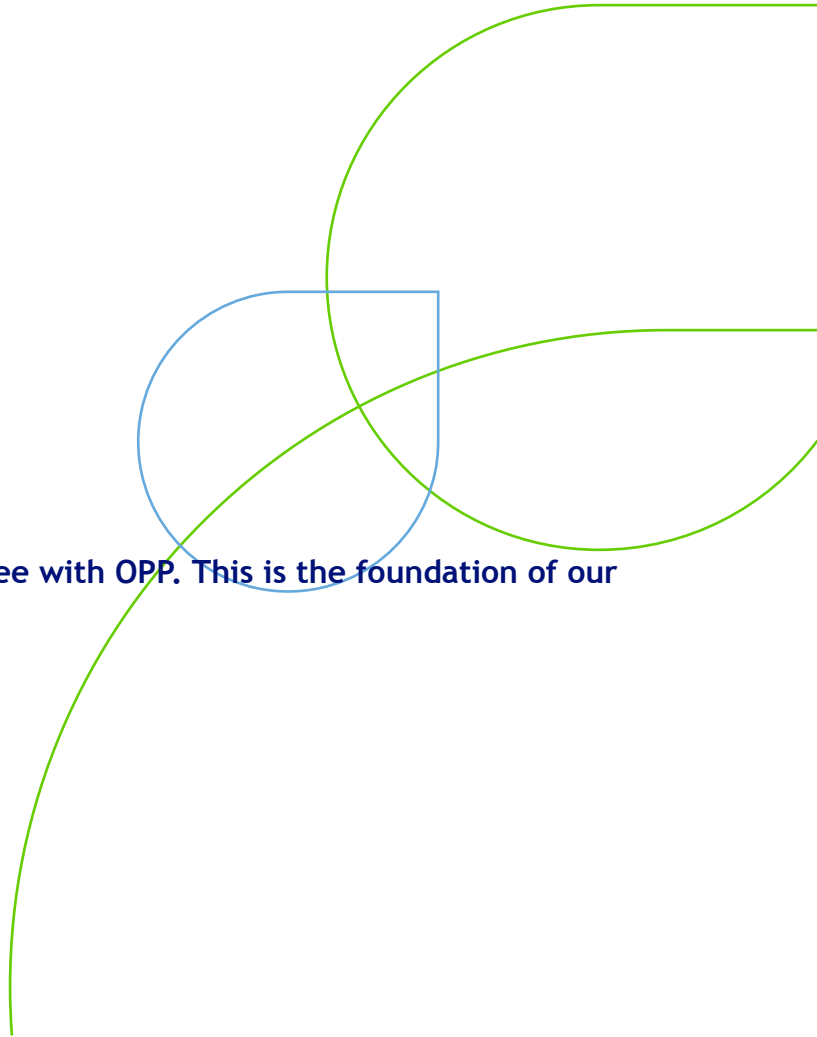
Asset Management One Refinery, AMOR Oy

Contents

1. [OPP Plans and needs](#)
2. [Why pursue collaboration with AMOR?](#)
3. [Startup of the new company: Asset Management One Refinery \(AMOR\)](#)
4. [Maintenance management with AMOR](#)

OPP plans and needs

In this section we put forward the needs and desires we can see with OPP. This is the foundation of our proposal.



Summary (OPP:n tahtotilan tiivistelmä)

OPP wants to be the most preferred partner to our clients also in the future. Therefore we need to improve safety, sustainability, productivity and adaptiveness.

We have to increase our resource efficiency and strengthen our technical capabilities. This means remarkable changes in our current ways of working, practices, roles and responsibilities as well as local agreements.

Our aim is to implement changes with good collaboration with unions, however these changes will require aligned and determined management as well as collaborative negotiations. Once the changes impact whole OPP organisation and will have far-reaching effects we need thoroughly plan and prepare our actions.

There will be strong change resistance and a lot of external attention. Therefore a solid top management support and uniform communication is essential.

We are currently working with some different scenarios as there are several studies ongoing and the final plan will depend on outcome those.

OPP future organization development needs

Our organizational efficiency is low due to lack of leadership and structure, overlapping and unclear roles & responsibilities, lack of focus on costs and effectiveness and having too much focus on technical expertise instead of operational expertise.

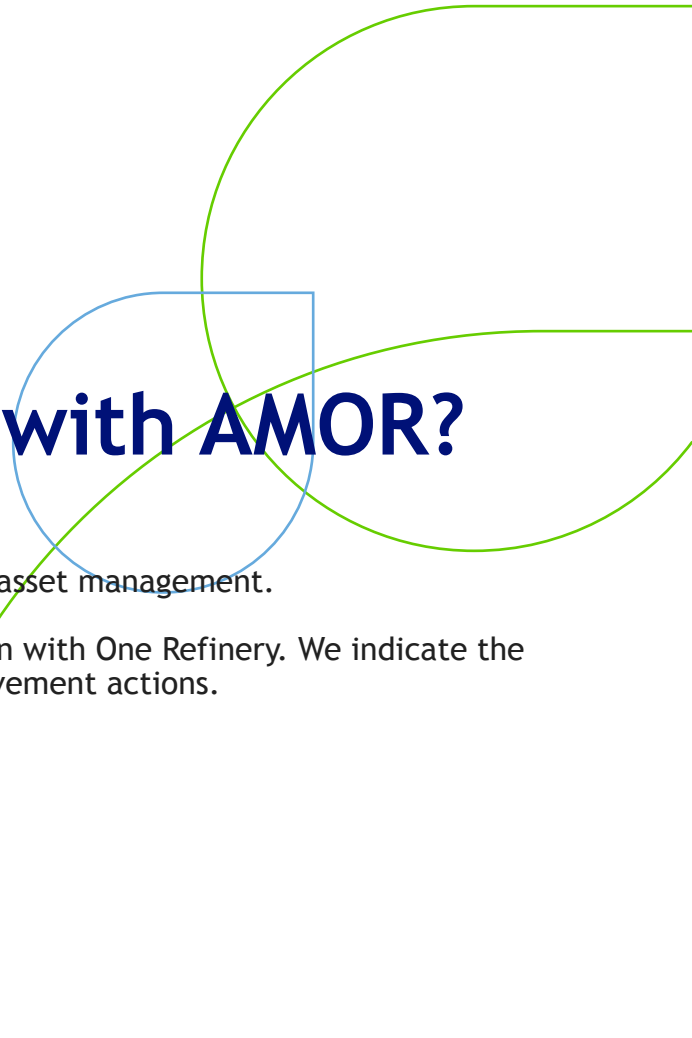
Therefore, the organisational structure needs to be changed to be able to strengthen:

- 1) Leadership in different time horizons (short, mid- and long-term) in production lines and functions
- 2) Optimization of refining and manufacturing aligned with operational and maintenance activities
- 3) Energy efficiency and carbon reduction
- 4) Ownership of Capex-projects and ability to steer the project towards efficiency and fit for purpose

This is done by having

- 1) Clear and common organization structure aligned with all functions, R&B, M&MA and H&T

Why pursue collaboration with AMOR?

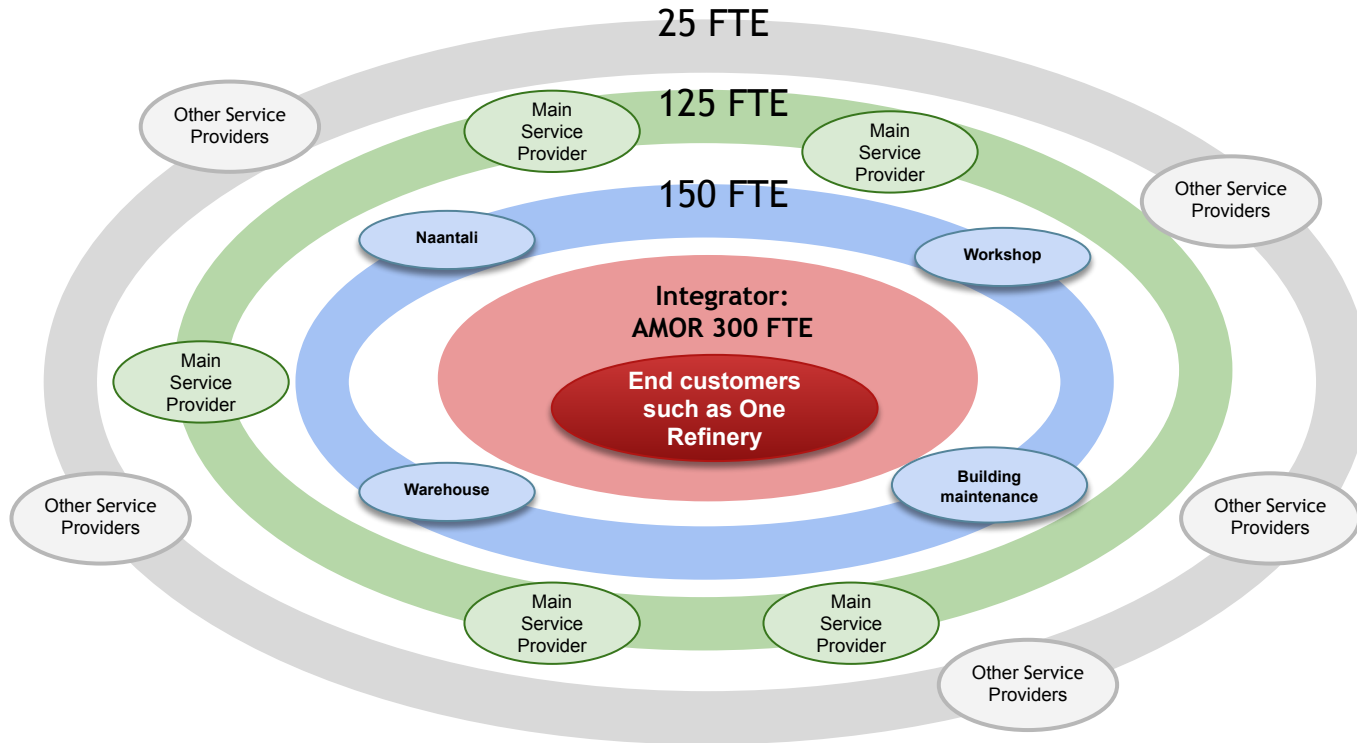


In this section we put forward how we intend to set up main concept in asset management.

We also define how we intend to develop the asset management function with One Refinery. We indicate the most important metrics for development, as well as the concrete improvement actions.

Asset Management One Refinery

Final concept with new company AMOR



AMOR as service integrator is responsible for the delivery of the all the services produced in the network and thus forms the deepest relationship with Neste(One refinery based on mutual trust.

Basic manageable blocks.

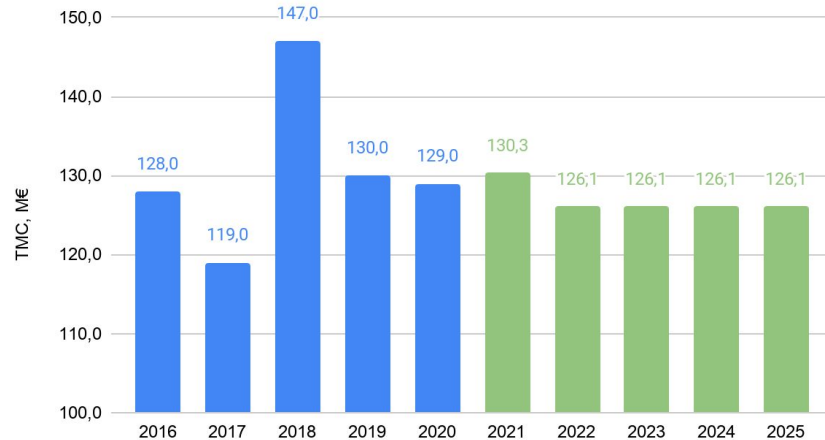
Value network members to create a deep long-term relationship with AMOR and thus have a significant role as service providers. However, there will be a reduction in the number of service providers.

Other service providers that supply occasional services as needed.

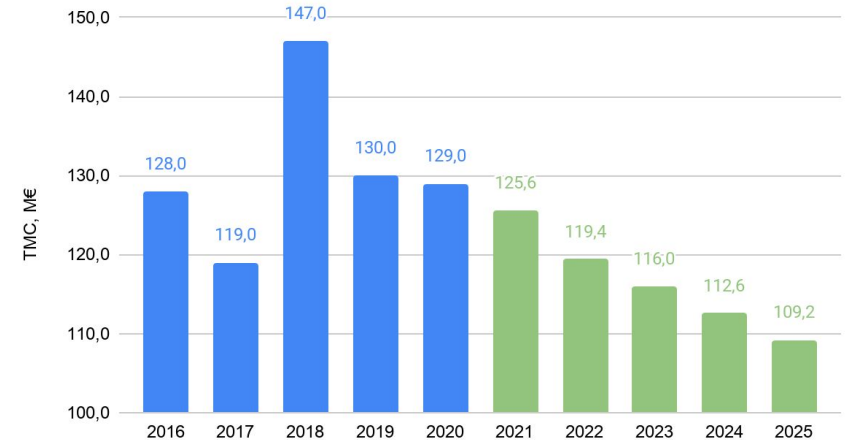
Financial projection to Neste

Outsourcing to AMOR compared with current plan

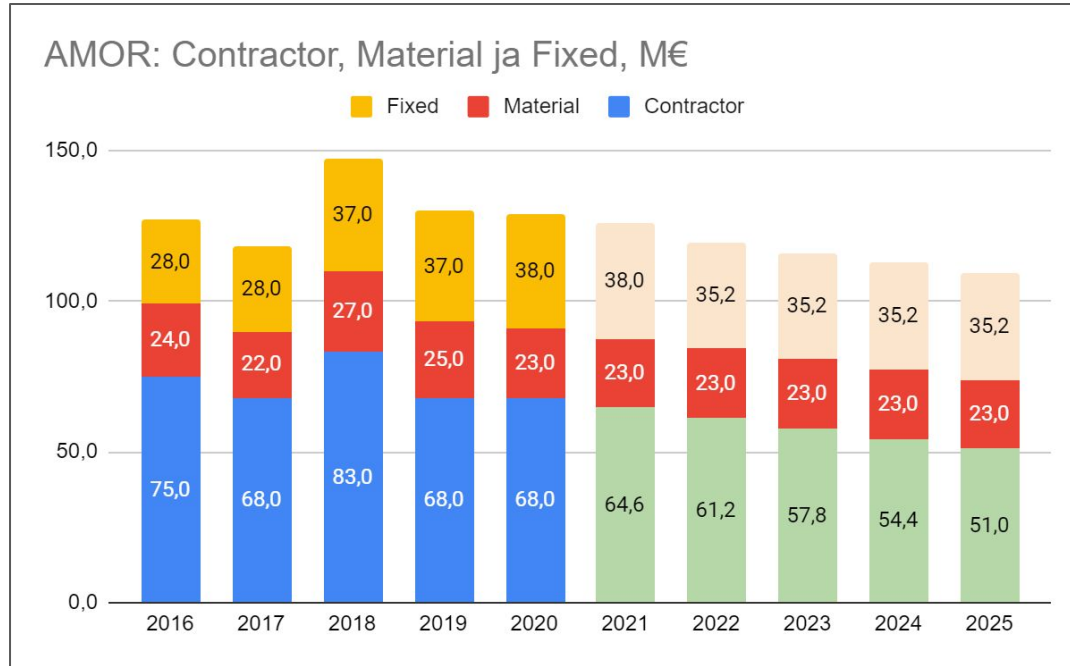
Total maintenance cost with current plan, M€



Total maintenance cost with AMOR

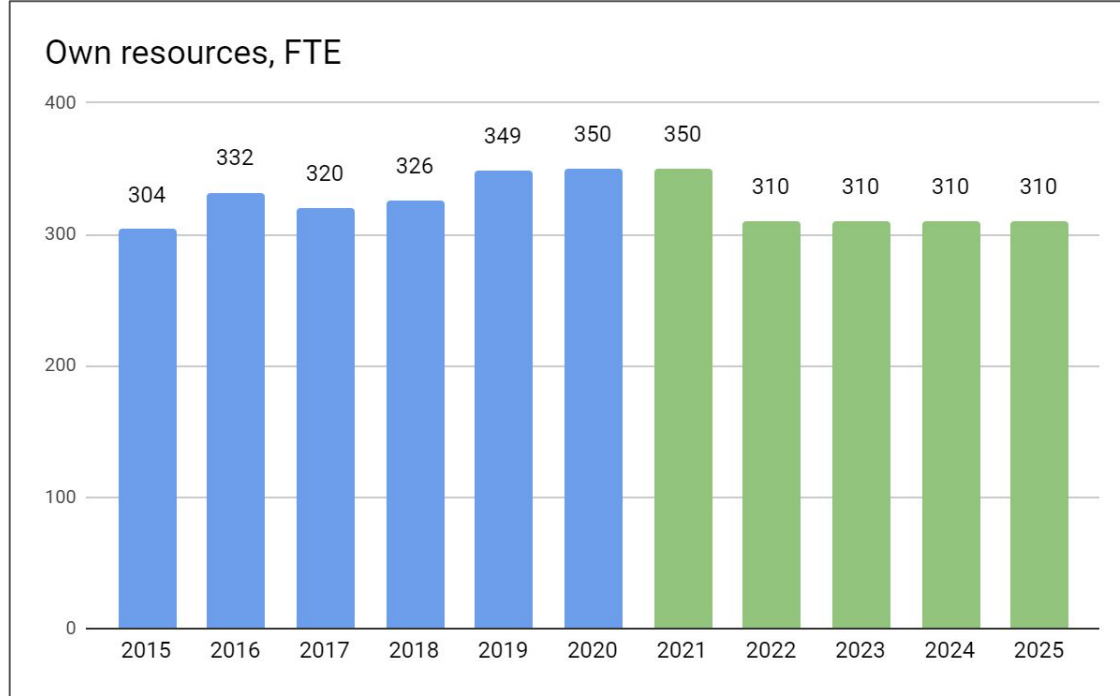


Financial projection to Neste with AMOR



Cumul savings

Projection of own resources with AMOR



These benefits are achievable through AMOR partnership only; breakaway from corporate model into partnership model.

Benefits of AMOR collaboration for One refinery

Fewer administrative employees (HR, supply chain, IT etc.)

Increase of cost-efficiency: lower maintenance cost to One Refinery

Maintenance management through selected KPIs spanning 3 years ahead

ALVAR / M+ / CMMS renewal: AMOR to implement its own CMMS

Rearrangement of union relations through AMOR in the service branch

Annual asset management services ordered on the basis of the needs at One refinery.

Option to add to AMOR scope the fire brigades in Porvoo and Naantali

Faster change of culture at One Refinery, faster startup phase with change management

Large supplier based managed through integrator - simplification of management

Potential savings and improvements with AMOR

Collaboration between parties needed to reach potential

<u>Area for development</u>	<u>What will be done?</u>	<u>Potential per year *</u>
1. Hands on tool time		24-29 m€
a. Workflow	Waiting time reduced	
b. Work permit	Waiting time reduced	
2. Management of subcontracting		17-20 m€
a. Selected partners	Fewer contractors	
b. Contractor KPIs	Targets agreed	
c. AMOR acting as integrator	Management	
d. Contractor efficiency	From hourly rates to lumpsum	
3. Own organisation		2-3 m€
a. Right size, right skills	Restructuring	
4. Lifecycle management and reliability		5-10 m€ (with tank farm 10-15 m€)
a. Capex needs in TA	Lifecycle plans	
b. Tank farm (T26 project)		

* *PIP report also referenced

Key performance indicators

Criteria for success

Long term Key Performance Indicator

- 1) Operational availability vs. Maintenance efficiency index

Target

2nd quartile in Solomon benchmark

Annual Key Performance Indicators

- 1) Budget compliance
- 2) PSER
- 3) TRIF

Target

At the annual budget

Same target as OP

Same target as OP

Other KPIs to be agreed as needed in the steering group.

Notes on the savings potential presented

The final savings potential may also depend on the following points, which have been omitted in this presentation:

- Salary and price increases and inflation
- Taxes and levies
- Content of the contract between the parties
- Initial period (1-2 years) before implementation of fixed priced
- Effects due to TA
- Due diligence on the figures (due diligence not performed)

Startup of the new company: Asset Management One Refinery (AMOR)

In this section we present how the new company will be formed:

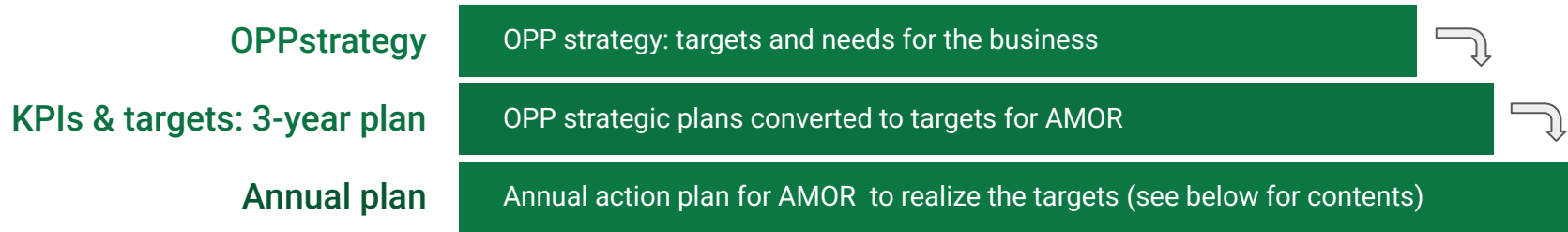
1. Business model
2. Delivery model
3. Timeline
4. Contracts
5. Formation of new company AMOR
6. Buildup of company functions
7. Working groups needed
8. Cost to Neste

Description of AMOR's business model

1. The main purpose of AMOR's business is to
 - a. Run mutually profitable business with OPP at One Refinery
 - b. Help OPP to improve on its operations and reach its business targets at One Refinery
2. The relationship between AMOR and OPP should be characterized by
 - a. Mutual trust and respect
 - b. Constant endeavour for better results for both parties
3. The development of AMOR's business model includes the following models and stages:
 - a. Years 1-2: earnings based on transaction fee (markup on transactions, cost plus)
 - b. From Year 3: earnings based on subscription fee for services (monthly fixed price with annual budget for shuts etc.)
 - c. From Year 3: additional external sales while prioritizing One Refinery
4. Commitment of the ownership for the first five years.
 - a. Next steps thereafter to be decided in negotiations

Description of AMOR's DELIVERY model

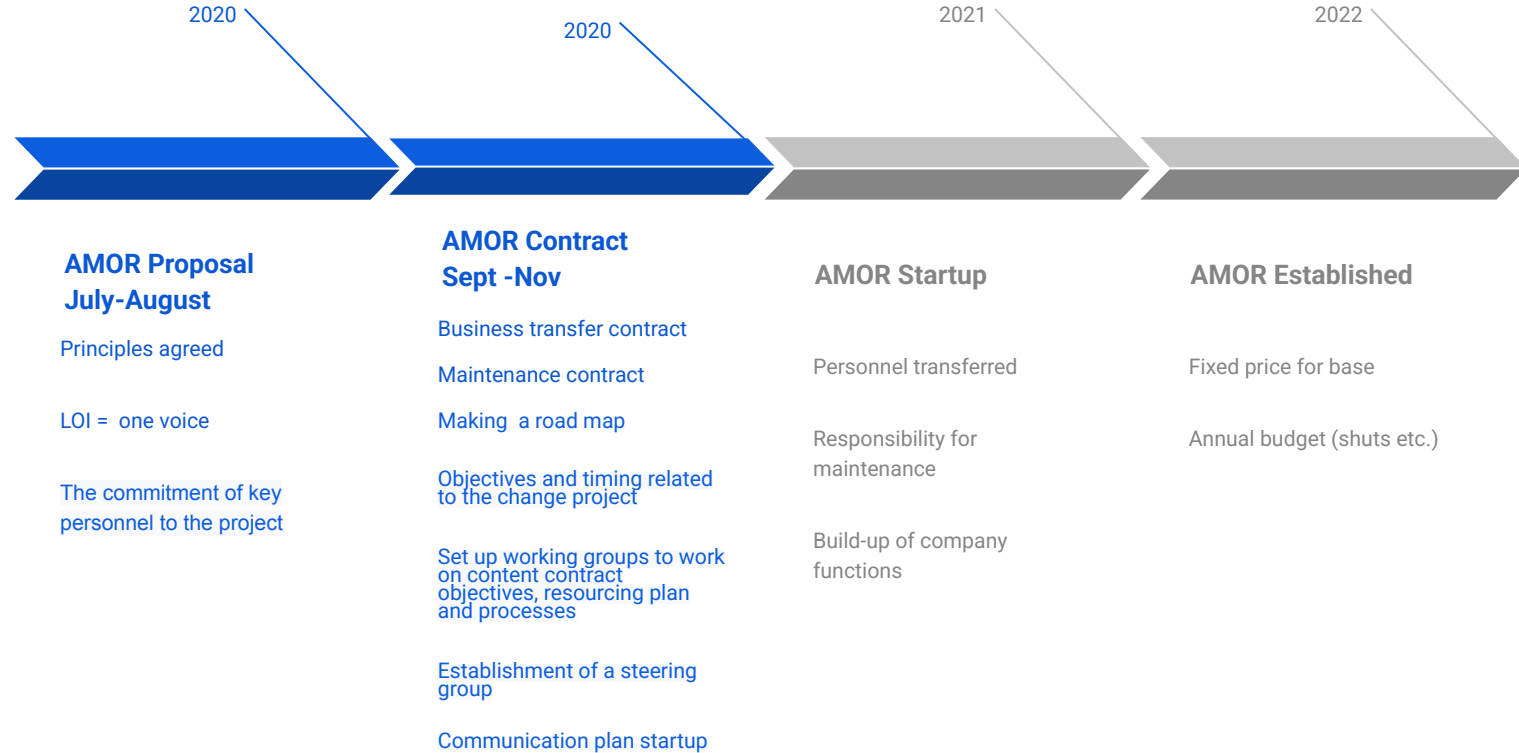
Structured collaboration with OP



Contents of Annual action plan

- | | | |
|-------------------------------|------------------------------|---------------------------------------|
| 1. Costs | 6. Process and people safety | 11. Lifecycle management, capex needs |
| 2. Organization and resources | 7. CMMS and systems | 12. Statutory requirements |
| 3. Maintenance operations | 8. Quality and information | 13. Development projects |
| 4. Reliability maintenance | 9. Supply chain management | 14. KPIs and reporting to OP |
| 5. Shutdowns and turnarounds | 10. Stock management | 15. Meeting structure |

Timeline



Two-way plan to build the cooperation together with Neste

Formation of the concept for resource management

1. All M&MA employees transfer to AMOR
 - a. 11.09.2020 Neste together with AMOR will take the lead to start the union negotiations
 - b. The goal is to define the TO BE model for OPPAsset Management with AMOR
 - c. Execution with AMOR starts on 1.1.2021
2. Neste and 3rd party contractors consent to AMOR being the integrator for OPPAsset Management
 - a. Neste to agree with 3rd party companies that all their contracts will be transferred from Neste to AMOR
 - b. All contracts ready for signing with AMOR by 11/2020
 - c. All contracts under AMOR management by 1/2021

Management buy-out through transfer of business

Formation of Asset Management One Refinery, AMOR Oy

- 1) Establishment of new limited company AMOR Oy by MMA Management: Hukkinen, Ala-Nikkola, Raassina, Kekkonen
- 2) Business transfer from Neste to AMOR containing all the current MMA resources excl. the ongoing outsourcing projects
 - a) Regulated by Business transfer contract between Neste and AMOR
- 3) The business transfer results in the formation of new asset management company AMOR under current MMA management leadership and ownership, and with current MMA resources
- 4) AMOR Oy assumes the responsibility for One Refinery asset management including the partial outsourcings
 - a) Regulated by Maintenance contract between Neste and AMOR

Contracts

Main paragraphs presented here - AMOR has 1st draft

1) Business transfer agreement

- a) Personnel transfer
- b) Supplier contract transfer
- c) Property transfer
- d) Price for the business

2) Maintenance agreement

- a) Responsibilities
- b) Prices and costs
- c) Key performance indicators
- d) Contract term

Business transaction from Neste to AMOR

1. AMOR acquires the maintenance function from Neste One Refinery for the price of 1 €.
2. The owners stay with AMOR as salaried employees, and form the core of the new management team
3. About 350 FTE are in the total scope (own resources in MMA today)
4. Material possessions such as spares stock are excluded from the business transfer and will remain in the ownership of Neste.
5. The initial contract time is 5 years. The contract will always be renewed automatically for one year if it is not terminated by either party. The notice for termination must be given 12 months in advance, and it can be given four years after the startup at the earliest.
6. If the contract is terminated by either party, the acquired maintenance function will be transferred back to Neste as it is on the date of termination.

Build-up of company functions with AMOR

1. The new company will have to build up its management and support functions: payroll, systems and IT, HR, HSE, procurement etc.
 - a. Option 1: AMOR purchases these functions from Neste
 - b. Option 2: the personnel for the functions required is transferred to AMOR from Neste
 - c. Option 3: the functions are purchased from the market outside of Neste and AMOR
2. In practice all of the three options above should be applied as feasible.
3. The parties should agree on the path forward.

The working groups needed to start the partnership

- | | | |
|-----|------------------------------|---|
| 1) | Steering team | Guidance for the other teams, removal of obstacles |
| 2) | AMOR team | Establishment of new company, company bylaws |
| 3) | Contract team | Maintenance contract, business transfer contract |
| 4) | HR team | Individual contracts and personnel, communication, payroll and insurances |
| 5) | Finances team | Budget for the year 2021, new cost centers and accounts established |
| 6) | Maintenance team | Annual maintenance plan corresponding to budget |
| 7) | Contractor team | Plan for the subcontractors (transfer now, or transfer later) |
| 8) | IT and systems team | Carve out of systems and IT, plan for the future |
| 9) | HSE team | HSE goals and instructions |
| 10) | Union negotiations | Statutory negotiations |
| 11) | Fixed price team (year 2021) | Due diligence and fixed price including the scope of services |

Cost to OPP

Estimated third party invoicing indicated

- 1) Formation of AMOR limited company (year 2020)
 - a) Company by-laws for AMOR, consultant services 20 keur
 - b) Taxation, consultant services 10 keur
 - c) Business transfer agreement, consultant services 20 keur
 - d) HR consultant 50 keur

- 2) Calculation of fixed price (during first contract year 2021)
 - a) Consultant 50 keur

Maintenance management with AMOR



In this section we present how the One refinery maintenance can be managed during the buildup of the new company:

1. New company starting up: years 1-2
2. Fully established maintenance service company

Principles for the collaboration years 1-2

AMOR's own administration under development

1. Maintenance opex fully managed by AMOR
2. Other outsourced maintenance functions managed by AMOR (Hampton, Stanley, Preston, and building maintenance.)
3. Maintenance cost
 - a. AMOR's own cost fully reimbursed by Neste with the markup factors indicated
 - b. Annual cost budget and target set together: AMOR proposes a budget and Neste approves the final version
 - c. AMOR will have the necessary time to adjust before changes in Neste's cost will take effect.
 - d. Cash flow and payment terms without additional cost to AMOR.
4. Administration:
 - a. Neste provides the required support functions, payroll, and systems

Financial principle for the years 1-2

• AMOR's own cost	Markup factor 1.25	See note 1
• Administrative cost	Markup factor 1.25	See note 2
• Spare parts and materials cost	No markup by AMOR	See note 3

1. All own cost paid out including salaries, benefits, all other personnel related cost, suppliers, subcontractors, materials, safety related expenses, etc. However, all materials, services, systems etc. provided to AMOR by Neste free of charge are excluded from the markup.
2. The markup principle applies to AMOR's own cost only. It is necessary that Neste will provide certain systems and functions, such as CMMS, IT, HR, procurement, payroll etc. in the early stages before AMOR is fully set up as an independent company. In these cases there will be no invoicing between the parties. Administrative own cost is therefore treated as any other AMOR's own cost.

Neste and AMOR: years 3-5

AMOR's own administration fully established

1. Maintenance opex budget fully managed by AMOR
2. Other outsourced maintenance functions managed by AMOR (Hampton, Stanley, Preston, and building maintenance.)
3. Fixed price for the maintenance baseload including AMOR's
 - a. Own personnel
 - b. Daily subcontracting load
4. Annual opex budget agreed between parties: AMOR proposes a budget, and Neste approves the final version.
5. AMOR will have the necessary time to adjust before changes taking effect.

